

Session 4.1: Comprehensive Case: Amazon

Retail flywheel, third-party marketplace, and AWS segment cross-subsidization.

PART 1 (LECTURE)
60 Minutes

PART 2 (LAB PRACTICE)
60 Minutes

PART 3 (EXECUTIVE MEMO)
60 Minutes

STANDARD
Audited SEC Filings

Learning Objectives & Executive Overview

Clear conceptual grounding for undergraduate and graduate business students.

CORE COMPETENCIES

Goals

What You Will Master Today

- **Theoretical Mastery:** Evaluate seminal literature and analytical frameworks governing platform competition.
- **Empirical Rigor:** Reconcile management strategic claims with legally audited statutory filings.
- **Data Modeling:** Execute spreadsheet calculations with explicit coordinates and formula logic.
- **Executive Formulation:** Deliver structured board-level recommendations resolving complex trade-offs.

PLATFORM FLYWHEEL THEORY

Vocabulary

Key Topical Foundations

- **Amazon Flywheel::** Traffic → Sellers → Selection → Experience → Traffic.
- **1P vs. 3P Marketplace::** Direct retail inventory vs. platform marketplace fees.
- **Segment Cross-Subsidization::** Using high-margin software to fund capital logistics.
- **Micro-Examples::** Fulfillment by Amazon (FBA), Prime membership, Sponsored Ads.

Theoretical Foundations: Platform Flywheel Theory

Rigorous analytical frameworks and literature benchmarks.

THEORETICAL ARCHITECTURE

Literature

Seminal Framework Insights

- *Amazon Flywheel::* Traffic → Sellers → Selection → Experience → Traffic.
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STRATEGIC APPLICATION

Analysis

Business Model Mechanics

- *Three Segments::* North America, International, and Amazon Web Services (AWS).
- *Retail Margin Squeeze::* Logistics and shipping holding retail margins near 0%.
- *AWS Profit Engine::* Cloud operating margins consistently between 25% and 35%.
- *2022 Financial Stress::* AWS operating profit alone kept consolidated Amazon profitable.

STRATEGIC TAKEAWAY

Retail flywheel, third-party marketplace, and AWS segment cross-subsidization.

Enterprise Case Dissection: Amazon Corporate Model

Historical case evidence and multi-year corporate trajectory analysis.

CORPORATE DYNAMICS

Timeline

Market Conditions & Strategic Moves

- **Three Segments::** North America, International, and Amazon Web Services (AWS).
- **Retail Margin Squeeze::** Logistics and shipping holding retail margins near 0%.
- **AWS Profit Engine::** Cloud operating margins consistently between 25% and 35%.
- **2022 Financial Stress::** AWS operating profit alone kept consolidated Amazon profitable.

ANALYTICAL FOCUS

Evidence

Operational & Financial Findings

- **Amazon 10-K Data::** Sales & operating income across all 3 segments (2019-23).
- **Segment Margins::** Calculating operating margin % for NA, Intl, and AWS.
- **AWS Contribution %::** $\text{AWS Operating Income} / \text{Total Operating Income} (=G2/H2*100)$.
- **Stress Test (2022)::** NA lost -\$2.8B, Intl lost -\$7.7B; AWS produced +\$22.8B.

Lab Dataset & Empirical Metrics: Applied Excel Lab

Reconciling corporate filings with explicit spreadsheet formulas.

SPREADSHEET MODELING

Lab Spec

Data Metrics & Formulas

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MANAGEMENT DILEMMA

Decision Lab

Strategic Tension

- *Antitrust Spin-Off Scenario::* Evaluating Amazon financial viability if AWS is spun off.
- *Retail Financing Crisis::* How standalone retail would fund billions in fulfillment capex.
- *Executive Defense Strategy::* Defending platform integration based on consumer welfare.
- *Strategic Memo::* Executive brief on regulatory defense and capital allocation.

Executive Problem Solving: Executive Lab

Framing complex management dilemmas and evaluating corporate trade-offs.

EXECUTIVE CHALLENGE

Dilemma

Corporate Strategic Tension

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EVALUATION RUBRIC

Requirements

Board-Level Deliverable

- **Actionable Recommendation:** Formulate a concrete 3-bullet decision brief for senior leadership.
- **Quantitative Defense:** Support recommendations using audited financial metrics from the lab spreadsheet.
- **Risk Mitigation:** Address channel friction, partner resistance, or competitive retaliation.
- **Implementation Timeline:** Define immediate 90-day execution milestones.

Lab Transition: 120-Minute Hands-On Execution

Transitioning from lecture observation to hands-on data manipulation and strategic decision-making.

EXERCISE 1: FOUNDATIONAL PRACTICE

60 Min Lab

Applied Excel Lab

Hands-on spreadsheet protocol using audited historical numbers:

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EXERCISE 2+: ADVANCED PROBLEM SOLVING

60 Min Memo

Executive Lab

Applied scenario analysis, trade-off evaluation, and executive brief:

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